HAWKISH HOLD HALLUCINATION

Podcast: Market huddle

AI Executive Summary

1. Core Thesis This episode analyzes the market dynamics surrounding an unusually uncertain FOMC meeting led by a hawkish Chair (referred to as Warsh) who signaled a commitment to inflation targets without raising rates, causing bond yields to spike despite policy inaction. Simultaneously, the hosts examine a historic correction in momentum and AI-related assets, driven by leverage ETFs and fund positioning risks, while debating whether these macroeconomic indicators signal an imminent recessionary "panic rate hike" or indicate temporary cyclical inflection points in Yen carry trades and commodity futures.

2. Key Arguments & Data

3. **FOMC Market Mechanics:** Fed Funds Futures priced a 38% chance of a rate hike; however, only 4 out of 64 economists surveyed expected a hike (consensus was unchanged). Equity traders uniformly expected no hike, while bond traders were more open to the possibility.
4. **Bond Yield Volatility:** The announcement resulted in unexpected yield spikes as the long end "voted with its feet," breaking previous highs from October 2023 and clearing them on July 31st, 2026. This occurred without explicit rate tightening.
5. **Policy Credibility Risk:** Hosts warn of future "panic rates" should inflation worsen without action, risking a policy error that could drive the economy into recession rather than just tightening financial conditions.
6. **Tech & AI Bubble Correction:** The Cosmo sector experienced a 44% drawdown (the largest one-month volatility correction since the GFC/COVID). Tech momentum volatility is at record highs, comparable to NASDAQâ€™s 2000 peak-to-trough drop.
7. **Leverage Dynamics:** Fund positions similar to Amaranth or Leopold's "Situational Awareness" fund appear to be stopped out; leverage ETFs are creating compounding decay and self-feeding sell-offs due to their mathematical mechanics on the way down.

8. **Yen Intervention:** The Bank of Japan intervened heavily (highest in history), but positioning data shows net short contracts at the 1st percentile with gross shorts near 5-year lows. Potential GPIF policy changes could permanently alter carry trade dynamics.
9. **Oil Futures Risk:** Crude oil rallied 40% from lows to reclaim its 50-day moving average. Gross short interest is at a 5-year low; long positions were unwound by ~20%, with no short covering observed, creating high tail risk if supply shocks worsen without liquidity.

10. **Commodity Trends:** Gold has flatlined despite record PBOC buying volume (crowded trade). Copper remains near all-time highs with intact bullish positioning. Uranium has dead-flatlined post-Cameco earnings loss. Bitcoin failed to clear its 38% retracement resistance.

11. Actionable Takeaways

12. **Fed Futures Arbitrage:** Investors believing rates will not hike should consider trading Fed Funds futures, creating an arbitrage opportunity given that equity traders were more convinced of no change than bond traders who saw the potential risk.
13. **Sector Positioning:** Reduce leverage in AI/Momentum sectors and be cautious with 3x/4x leverage ETFs due to compounding decay and stop-out risks (similar to Amaranth fund dynamics).
14. **Carry Trade Monitoring:** Monitor Yen positioning closely as net shorts are at historic lows; be prepared for a potential squeeze if carry trade unwinds or if Japanese pension policy changes.
15. **Oil & Commodities:** Prepare for tail risk in the oil sector given the lack of short interest rebuilding despite recent rallies; consider value traps (staples) but watch for capitulation signs where performance appears.
16. **Macro Scenario Planning:** Maintain position limits on gold and bonds, acknowledging that PBOC actions may be the primary driver rather than traditional real rates.

Full Transcript

Hit it. It's Friday, July 31st, 2026. Episode 297. I'm Patrick Serezna. And I'm Kevin Muir. This week, it's a no guest show. And although we have our regular talking charts with Patrick, my co-host wants to turn the tables and ask me some questions. And maybe I should just get out in front with the following statement. No, it's not my burner account that continually litters the YouTube comments with the question. It says naked puts. But why is Patrick wearing clothes?

All right, well folks listen now we're gonna drink some beers because this is I'm gonna need it listening to your commentaries here, so Danny know what what beer am I drinking here? This is the Sierra Nevada pale ale I used to drink a lot of this when I worked in a bar. It's fantastic It's very strong. I think you're gonna enjoy it Would recommend it's an American beer. I think yeah, yeah from North Carolina. It's uh, oh, yeah, it's wow. It's strong from North Carolina. All right, give us a disclaimer, buddy. Okay. Nothing in this podcast should be viewed as investment advice. Listeners should consult an investment professional before making any decisions regarding topics mentioned in the show. Side effects of too much huddle may include the Magnificent seven split personality disorder, metamargin meltdown and then the apple expectation dysfunction.

Something other traders amongst us. Absolutely. All right. Listen, Kev, let's, uh, let's just dive into this and, uh, and, uh, chat about these markets and, um, uh, obviously some, some, um, volatility here, uh, we will all company some of the charts, uh, to, uh, that, to follow this along. But I feel the one thing that I want to start with. is discussing the FOMC and Warsh and what happened here. And essentially the market came in with the least clarity in any meeting that, arguably, was there a, you tell me, was there a Powell? FOMC meeting where we ever went in with this kind of uncertainty. There has never been since 1997, a meeting that had the expectation of a hike or a cut or a change to be this uncertain, meaning that it was going to move. And you know, I think Goldman Sachs had this great piece where they said, regardless of what happens, this will be the largest move in the front end of the curve.

like the extreme front-end based upon the meeting because there was so much uncertainty. It was in the middle of it. It was guaranteed that the moment it happened that there was going to be a jump in either direction for sure. And obviously, you were writing about some of the influences that were going into that meeting. Where do you want to start? Do you want to start talking about how those traders were hedging the positions, which was certainly contributing to that uncertainty, or do you want to go into? No, no, let's let's let's just talk about the mechanics of what occurred going in. Okay. Usually, you know, in the past couple of decades, the Fed has been very clear about what they were going to do at a meeting. And there was, as we mentioned, there was never been a case where we had a situation where the market had priced in like a 40% chance of a of a hike.

right? It was usually two, three, five percent chance of a hike or something of that nature. And the reason for this is because Warsh keeps insisting, you know, we've done hand-holding the markets. Like that is it. We're no longer going to hold your hands. We're going to do the policy we see fit and therefore you can't expect us to not surprise. Something in that effect. So one of the things that occurred is all of a sudden if you're sitting there and you're a Wall Street bank or a hedge fund or somebody that is funding big trades, you're looking at the possibility that he goes and raises rates on you. And now I used to work at a bank and I can tell you that that funding ended up being very, very important for the pricing of a lot of our trades in terms of the carry.

And so if you're sitting there and you're a pod shop that has one of the most massive basis trades on where they're long the underlying bond short the future, they're all of a sudden faced with this enormous risk, right? In the past, there was almost no chance that the Fed would hike in a surprise. Now all of a sudden there's a chance that they would hike. So what we saw was going into this meeting, there's a Fed funds futures contract that enables all participants but mostly banks end up trading these things to hedge their Fed funds. Meaning they can go in and they can actually lock in funding against the Fed funds. And that is in essence when you talk about people talk about the CME and they express there's a 38% chance of a Fed hike that's based upon these Fed funds futures.

all for the past month, ever since the last FOMC meeting, when Warsh indicated that he was no longer going to hold the bank, the market's hand in terms of forward policy, there has been a massive seller in Fed funds features for the August contract, just massive. And if you go into it, if you were a stir trader, that's all the people were talking about is just this the person that just keeps wailing and wailing and wailing on it. And if you're selling it, that in essence is causing you to think, sorry, that is locking in funding, meaning that you're hedging against the possibility that he raises rates. So that hedging actually created the environment where we had that 38% chance of a hike going into the meeting. And what was funny about this, Patrick, is that when you looked at the economist and the strategist. And I think I pulled up the Bloomberg economists, they surveyed 64 economists, only four had a hike forecast. So was that majority of them expected rates to stay unchanged? It was consensus. Yeah. Yeah. And, and so we had this strange environment where the market was pricing in a much higher chance of a hike than the economists or the supposed experts were. It was also interesting, Patrick, in that it varied in terms of the different market participants. If you spoke to an equity trader, I can assure you chances are that their opinion was there is no way he is hiking. It was almost universal. I have talked to a lot of different equity traders. They were all very, very convinced that there was no way that he's hiking, right? But then you went and spoke to bond traders and they were much more like, well, I think the market's about right, 40%. There is a decent chance that they hike and or sorry, there's a non zero chance that they hike, they were much more willing to to actually contemplate this idea. So one of the things that I said is that we could have a situation where they go when they hike.

and the store guys go, yeah, you know, we thought this could happen. But yet the stock market just shits the bet because there was no equity traders that were willing to go and bet that way. They were all completely convinced. And in fact, when he went and it was the initial reaction of the unchanged policy, you actually look at the stock market was barely up. Like, you remember the initial reaction? It didn't like the stock market guys were like, okay. Um, they had, they had it baked in. That was what they were expecting. That's what they got, right? Like that's the normal reaction function on, uh, on the expectation. And here's something I would like to say to the stock traders is that go and spend some time and learn how to

trade fed fund futures because you could have had this attitude that, oh, there's no way that he was going to go and raise rates.

And you were like, I see, I told you so. But the reality was because all of your other, you know, equity traders also thought the same thing, then there was very little benefit to be long. To me, that was like the wrong trade to buy stocks because he wasn't going to raise rates. The correct trade was to go and buy fed funds futures because they instantly repriced. based upon them not raising rates. So there was an easy arb there. So for those that, you know, will say, oh, I told you, I haven't, I haven't a chart up here, Kevin. So you can, this is the August 2000 contract and you can see the, the instant repricing up here. Right. Listen, it's not that big a deal, but there was a lot of volume there. And that was a much better risk reward in terms of betting on him not raising rates.

And but so let's now though go back and talk about what he's trying to accomplish and what happened during the meeting and what happened. I want to talk about that for sure because. OK, so we know going into the meeting that we had this situation where the market was the bond market was nervous and the bond market was hedging by selling these fed funds futures. And the reason that they were nervous was because they were funding a lot of the basis trades and they realized that this was a real risk. The rest of the market, the equity market and other folks thought there's no way he's going to do it. But let's now talk about when the meeting occurs. Initially, the meeting happens. It starts the curve steepens a little bit, meaning that the front end rallies, the long end is OK. And then he starts talking.

And let's just rewind to the previous meeting. The previous meeting, he had said, okay, we are no longer going to tolerate the Fed not achieving their price target, not hitting the 2% inflation. And we are going to do things to fix it. And all of a sudden though, we have this situation where we have this. environment where the Fed is not achieving their price target, the employment situation is fine, yet they just paused again. And as he started talking and as more and more questions got shot at him in terms of pointing out this discrepancy, the answers were just kind of more and more ridiculous. a lot of circular thinking, a lot of answering stuff with questions.

And he lost the confidence of the bond market. He would have been better off just going, not cutting, saying the three dissents and then not having a press conference. He completely like just screwed it up. He should have doubted Fauci and just take the fifth, just stood there and just like.

taking the fifth. I'm taking the fifth. I'm taking the fifth. And so as he spoke, the bond market just got more and more nervous. And we can we can chat about whether this was whether he was trying to do not answer anything and whether his policy will work and the circular kind of part of his thinking about him saying that he thinks that the market has gone ahead and tightened financial conditions because of his previous comment. But then he didn't realize that by not following through on that, they'd make a problem. But the long and short of it is the long end of the bond market voted with their feet. And that is the important part, right? That the long end said, Hey, wait, you told us that this was a situation where we're going to take care of inflation. And yet we feel like you are doing anything but And it's the same crap. And not only that, you seem like you're even more lost. And so they sold the long end heart. And I just want to just remind folks, because I hear this all the time, Patrick, like they'll be like, oh, I'm going to buy bonds because the Fed is not going to is going to loosen monetary policy or is not going to tighten. And here's a situation where him not tightening actually caused rates to rise.

And the reason it caused rates to rise is because the market became more uncertain that he was actually serious about inflation. This is why continually and just hammer this home that folks think that, you know, rate the Fed cutting rates means bonds go up and folks think that Fed raising rates means bonds go down. It's not that simple and the curve can really change and it depends on where the Fed is and how it's behaving. And this was a perfect example where him not raising rates caused the long end of the bond market to go no bid and for rates to rise. So I have here the 30 year yield. On an hourly chart basis and I circled in this little red circle the three o'clock candle, which is that this the two o'clock candle, which was the one that had the actual Yeah, so that that was that was the announcement the announcement but it was when Warsh was speaking that that huge jump happened now I'm gonna put this on a a daily chart and just put the significance that we cleared a very important May high, which is

technically, unless you think this is a prairie dog, this is a bad news, buddy. But the one thing is that it's not just the one high, but we have to go back to 2023.

And back in October, 2023 was where that high was originally thing. And, and this one wise guy I have, uh, that I do a show, it says there's no such thing as a triple pop. Yep. And, uh, I don't know. I should, I should have known that this was going to happen because there's no such thing as the triple top. Yeah. Some wise guy. And, uh, and so, uh, in the end, uh, uh, this breakout is pretty explicitly clear. on the long bonds taking it. First of all, your analysis is spot on. I think that I have nothing to really say differently on all of that. But I want to highlight, so the long bond makes this move. Clearly, the Treasury and the administration are not ignoring this.

When we had that last spike over here in middle of May on the yield, immediately the administration responded with talking back the markets. And even this little spike back over here on the July 23rd was met with a headline that you know there's some sort of talks and maybe there's room for thing they put in some sort of a news announcement to just calm the markets down now that we've cleared this hurdle we have a situation where oil is back to 85 86 bucks trying to turn back up and these bond yields are ripping which is the kind of the two things I think that the administration is paying very, very close attention to. And Warsh kind of made it more challenging for them to manage this. And so what's your kind of... So the real question is, did Warsh make a mistake that he or did he know what he was doing? You know, like did he make a mistake in...

He really is very hawkish and he just made a mistake in that he didn't understand how quickly the Fed, sorry, the bond market would want him to follow through with his actions. That could be it. That would be one of the things. Part of the reason, by the way, You know the market was at 38% I was slightly higher I was at 50 50 and the reason in terms of the actual hike and the reason I was more 50 50 was I was thinking it through from a game theory perspective and I was kind of going through the the logic of if we have a situation where they pass in June in July and Then inflation gets worse. Yeah, that means that they will be even more forced to go in September. And given that it's so close to the midterms from a political

point of view, it made it more awkward. And so this is, thank you. I literally my argument to my members was that look, they're all the market's already pricing in like one and a half cuts. Hi, sorry. This year. And it would make more sense for uh a wash to just get the hike in and then have far less pressure during the political cycle to uh um to not get political just basically stay out of it and think but now we have a market that is pricing a 67 odds of a september hike and uh and obviously october's uh is just pricing in a small chance, like 20% chance that we have a second hike in this cycle. But the interesting part, Kev, was that in the December numbers, the belly of the distribution is now favored only one rate hike. We're at 40% for one rate hike and about 37% for two, which is okay. Let's call it a split.

But that lightened up after they didn't act on this meeting. Okay, so now one of the things that you need to remember is that if we're talking about what the Fed will do, not what they should do, and I'm of the belief that even though I expect them or I had expected them to hike, or at least I expected them more than the market expected them to hike, I suspect that that will be a policy error. that the economy actually can't take that. And so one of the things that I am sympathetic to the idea that if I was on the Fed, I might look through it and I might be like, no, it's okay. The market's going to come around and really The mistake almost might be Warsh saying that they were, you know, being so adamant, the previous meeting, saying he was going to get back to 2%. And he said it again, Patrick, by the way, he highlighted and hammered home the fact that they're going to get to 2%. I saw, for example, the Jeff Gunlack had misread the previous meeting. And I remember kind of highlighting the fact that he did not, he heard what I don't know what he heard, but he like he interpreted the previous meeting is that Warsh would allow 2.9%. And that's not what he said last time. And this time he needed absolutely clear that he's going to get to 2%. But you can't say you're going to get to 2% and then not do anything about it. And this ultimately is the problem. And I go back to, did he make a mistake by being so hawkish and by kind of tricking the bond market into thinking he was going to do something today?

That's a credibility issue, right? Right. And this is, this is the issue. Like he might have made it all the worse by, by saying one thing and then not following through. It's, it's people are like, what the hell is this guy

thinking? Like he doesn't understand what's going on. Or is he trying to talk hawkish so that the bond market does the financial tightening that he doesn't want to do. And that's the other argument, right? Like the folks will say, and all you have to do is look at his actual FOMC press conference where one of the reporters asked him about this and he said, no, actually, look, the market has tightened monetary conditions and that has worked. But what he failing to realize is that by saying that and by pointing out this thing and then not going and doing it, he's making everyone become much more nervous, which brings me back to the point is I think he would have been better off just having the meeting and having no press conference because he's trying to have it both ways and trying to do all the stick handling and he's just looking like a fool. And in doing so, he's making the bond market very nervous. And one of the things that I'm very concerned about Patrick is that we have to remember there was a period when bonds almost led stocks down like we had that period during the tariff problems where, you know, we had stocks going down, bonds going down.

and the U.S. dollar going down. And let's just talk about the last few days. We're back on that, right? U.S. dollar going down. No, that's because of the yen, but we'll talk about that later. Stocks are going down, or were, and now all of a sudden bonds are going down. And I'm very concerned that he's playing with fire and that by this credibility issue, he's risking the long end going no bid. And back to the September meeting, If we get a situation where the inflation gets worse and yet we have employment staying firm and then they don't raise rates, I think the bond market could absolutely have a condition. And then all of a sudden you're forced to raise rates, right? Like this is just bad, bad, bad. And so I really believe that this was a mistake.

And that he would have been better off at the very least, just keeping his mouth shut. And it's a more dangerous situation than the administration and or sorry, that the Fed would probably realize. How long until Trump wants to fire him? Yeah, I don't know. And the other thing about everyone tells me they say there's no way that. like they'll argue that warships Trump's puppet. And I understand that argument. And again, if you believe those things, then go out and trade fed funds futures because if you the next time we get a situation where there's market pricing in a rate hike, you know, you can

make all sorts of money if you're if you continue to be correct that he's never going to raise rates.

I don't believe that I think that he will raise rates and it'll be a mistake and that he's made it so that the pressure will be it'll be a panic raise which will be worse than a than a raise where you're getting out ahead of it and ultimately that panic rates will be a policy error which will then ultimately mean lower rates as the economy slips into you know a recession and and so it'll be a point where you can buy the long end but in the meantime, he's playing the player. But one of the things is I don't buy that this idea that Trump, that Warsh's Trump's puppet, you know, Warsh is there for seven years. Trump is there for two, let's hope, two more years. And the reality is that I think Warsh is thinking past the Trump administration, thinking he doesn't want to furnish his legacy. So What I wanted to ask you about is Obviously the case you have is one that I Generally have spoken about to my members as well as the idea This this is a one-and-done kind of rate hike whatever is coming. Yeah And what is interesting is the SOFR future is aligned with that. Why well, you know the December 2026 SOFR trending at 95.92. And the December 2027 is at 95.86, literally five basis points different. The point being that right now, stir traders are not pricing in any move next year. Like that, like literally they're just debating at this moment whether or not there's one or two rate hikes this year. And as of this moment, there's either a complete lack of commitment or clarity as to what direction rates will go next year or they literally believe that that's just the right price. I think that the market just doesn't, I don't think they just know which direction is going to go next year and I think that at this moment there's a lack of clarity or commitment to actually pricing 2027.

Yeah. Well, the other problem is because the Fed's all over the map, you know, with all these different things. And let's just talk about the fact that he's made five committees for it. For a guy that hates bureaucracy, he sure has been pretty quick to make committees. The market is confused. And the other thing is that, Patrick, if you make the market more confused, you have more volatility. And if you have more volatility, that means that the risk premium should go up and it means that financial assets should be lower in prices. The one thing I'll ask you from a trade perspective. I'm of the opinion that while obviously there is more immediate risk on the long

bonds and being in the long bonds has clear risk. We broke the lower lows. But with the fact that they're already pricing in one and a half rate hikes this year, do you believe that generally this is the bottom end of the kind of software and two-year market, two-year treasuries, like that this is basically pricing in the top end of the interest rate cycle and that we're not really going to go much higher and that there's some degree of asymmetry in being along the short end. Yes, 100%. I think that's what the market's telling you as well. The market's telling you that, but I'm just asking of you. Yeah. No, I agree with that.

Like for example, I own December puts, but on so far I've had this for a while because I think I wrote about this way back when in terms of that they were going to have to get more hawkish and I believe I put this position on then. But it's a one by two that I did, meaning that I bought like one put and then sold two out of the monies. And the reason I sold two out of the monies is that I don't think that they're going to raise like they're not going on a campaign where they raised three times. And that's the other thing, Patrick, I hear from a lot of folks this notion that the Fed never raises rates one time, right? And that is a very common notion, right? That they go, when they start raising rates, listen, I can't remember all of it, but I contend that there have been so many things that have never happened before that are happening now.

that you should be very careful about using old playbooks. In general, when the Fed raises rates, they raise rates at least two times, two, three times. And so that's why you'll see a situation where like the Bank of America, at one point, I think had three rate hikes as their forecast. They were talking about September, October, December as hikes, right? But anyways, the point being, I'd be very careful. I think the Fed could raise rates once and things roll over really quickly and then they're cutting rates so shockingly quick. Where's the flaw in my thinking? I'm in the camp where it's very likely to be policy error because we've had this conversation on the show before but to me inflation is very much supply shock driven from war.

The war has created, obviously, logistical problems in moving oil, shortages in fertilizers, all these different things, generally causing prices to rise. And that is one of the kind of precipitating drivers that is pushing inflation to

levels where the Fed is uncomfortable. But the mechanism from which the Fed is the only tool they have is a monetary tool and they can't solve shocks so the thing is that when the entire global economy is suffering a huge tax on the war which is slowing the economy they're trying to fight the higher price by slowing the economy. by actually things. So there's two inputs slowing the economy. If that is inputted with a third input, which is the AI bubble bursts, and we have an equity drawdown, then the question is, is there now an increasing risk that the triple whammy would basically cause a recession?

And that this is actually going to be where they simply are going to now see economic numbers that they simply can't justify higher rates. I'm 100% in that camp, Patrick. I think we're way closer to recession than anyone believes. All you have to do is look at the Bank of America Fund Management Survey. You'll see that 2% of participants are calling for a recession, in essence, what they call a hard landing. contrast that to 2023 when everyone was convinced that we were going to have a hard landing and we didn't. And I'm very much believe your three reasons you outlined are correct. But let's stop and think about what, like let's invert it. Let's imagine that that's our base case, but let's do like the Charlie Munger. Let's invert it. How would we be wrong? Like what would it take for us to be wrong?

And when I'm thinking it through, this is the argument where you could get a situation where rates are much higher. Let's imagine, first of all, that the AI bubble continues. It doesn't pop. the reality is that this is just a slight hiccup along the way, like SVB, you know, Silicon Valley Bank. And we've already had the flush, and now we're going to go back to spending all sorts of money washed out. Yeah. So now we're going to head higher. So we're going to go back to doing that. And we have this situation where although we are sitting there and it seems like rates are low, if you stop and Think about rates in like the grand scheme of things over time. They're not as low as they might seem. Not only that, those rates haven't been so far enough to stop that expansion. And if we get private expansion of the money supply as we continue to spend and borrow to fund this AI trade and to do different things. And let's just imagine some other things start kicking in in terms of tax breaks or something like that. Maybe there's some sort of fiscal cut as

they try to win the midterms or whatever. The reality is that if we get a situation where the economy starts to take off, we could be back in a situation where maybe rates are going to 8%. It's happened before. And so we're sitting there 100%, not 100%, but we're confident that the economy is weak and is about to roll over. Yet the economy has been remarkably resilient. Maybe this was a pause. And maybe we're about to take off. And not only that, Patrick.

One of the really worrisome things is, if the Fed is showing signs that they are not going to tamp down on inflation, that encourages people to borrow more and to go out and try to, you know, like take advantage of the fact that real rates are low, even though I'm credit credit expansion has not been hot. And this is not, this is not a thing that needs to be cooled. But Patrick, if you look at banks, it actually has been there's a shocking amount of private sector credit expansion out there. And that's part of the hyper scalars world. Yeah. But even just in the banks loan book has been going up. And that's part of the reason the economy has stayed stronger than we expected. So now, okay. So now there's like whatever, like 100 trillion of debt that's in the US system. The interest on this is like 7 trillion a year gross. This is all the entire credit stock, not US government debt. This is like we're talking about the total debt. The question is, you know, this fantasy that rates have been higher before, you know, so we could go back there again. I would argue that that the economy would never be able to endure the same type of rates when the debt per capita was at a much smaller debt per GDP capita, whatever like whatever ratio you want to deficit has never been this high, Patrick. Yeah, so they're on all fronts reading more money. And then not only that we haven't quote unquote had as much transformational technology and just encourages people to do it. The reality is that if you claim you know the proper level of interest rates, I think you need to be careful because one of the things that all you can really be sure of is that as you raise rates, it increases the chance that this happens, but we don't really know if we're Too tight or too loose and you might argue that this that's bubble that we've created over the last year or two has been the condition of the Fed being too loose We might be dramatically more loose. Listen, I don't agree with this Patrick I'm just taking the other side and I'm just talking about the risk. I'm with you I think the economy is actually way weaker than it seems I I believe that this is a solely an AI bubble that is

driven and it's it's been kind of almost rates don't seem to matter at all. So we have this situation where if we raise rates, we might like it didn't really change the AI trade at all. And so I'm with you. I think that we're going to get a situation where the economy rolls over. But there is a case to be made that we don't know the right rate of interest rates and that there is a side that maybe it just takes off.

we're about to find out. That's why we have stop losses. That's why we do stuff in using options. There's a lot of things we have to cover. We'll circle back to the end because I think that this is a very good segue for us to talk what's happening in the stock market, particularly in the tech space. Obviously, we saw an extraordinary hammering on the momentum AI bubble space. Well, I call it a bubble. Some people don't. But in the end, in the AI momentum trade. And I think I saw a stat out there saying that this was like one of the largest one month drawdowns, hedge funds, momentum hedge funds I've had in like a decade.

And it was pretty much a bloodbath out there, taking down, obviously, like Leopold's situational awareness fund, which was, you know, like, first of all, do you want to talk about that? Patrick, there's so much to talk about here. Let's just start with the idea and let's try to remember what we felt a month ago. A month ago. these AI trade felt like it would never end, right? Like it was just, I was getting a flack for being bearish AI. I was told I didn't have a clue what I was talking about. I didn't understand how transformational the technology was. We had things just ripping higher and higher. And in the case of like three or four weeks, Patrick, all of those gains have just been absolutely destroyed. Absolutely. Let's let's start with a chart on the Cosby because this is the epicenter where it did the Eiffel Tower. Right. And I just want to remind folks because, you know, I've talked about this in the past about these series of rolling mini bubbles. Yeah. And I found my original, my original post Patrick, it was 2014.

That's when I wrote it. There was you have a back when you had hair. Yeah Exactly, this is how long ago Patrick it was at the time I said, you know what there might be a bubble in a stock I'm sorry There might be a bubble coming up here And if you wanted to take a shot on something that could get bubbly you should buy this stock guess what stock it was tell me Tesla

That's how long ago was it was five dollars at the time or ten dollars and that was pre-split And anyways, I talked about these rolling mini bubbles, and they're not so many anymore. They're becoming bigger and bubblier. And I just want to just remind folks though, because a month ago, you felt like a complete heal if you weren't long these things. And, you know, everyone was making fun of anyone who would suggest that these were dangerous stocks that you should be worried about. And now we have the largest momentum.

correction in history. The momentum volatility, I believe in history. I think it is. I think it is. And the momentum one month or yeah, the momentum volatility factor had the highest realized ball over one month apart from recessions that we've ever seen. Right. And that yeah, apart from recessions. So basically the last time we had this much volatility in the momentum factor was to the GFC and 2020. Apart from that, we've never had this. No, I don't think they went back that far for the momentum thing or what? Yeah, it was COVID and it was a GFC. And so I just I just want to remind folks because it's easy to say now it's so obvious, but in reality is that at the time if you were preaching caution, you were labeled a bum who didn't understand how transformational the technology is. And you know, what's that, that, you know, risk happens fast. Like it really does. And whether it be the cost be whether it be momentum factor, whether it be micron or whatever the DRAM, these things have gone absolutely destroyed. So I what's the cost be down? It's down 44%. I believe at the lows before today's reversal. Yeah. And now and now it's, you know, everyone's talking about what a ripper it is. And I'm looking at this chart and going, Okay, great, you know, we've ripped higher. But let's just remind ourselves, the largest and sharpest and most vicious rallies occur within bear markets. And but it's a deceptive thing to look at percentages, because percentage on the way up versus percentage on the way down are disproportional because of the convexity of it.

Yeah. But the thing to highlight is when you think 17% up day, like what we saw almost 18% up day, you would imagine, well, that's almost half of the 40% drop that happened on the way down. Right. So in theory, it should be somewhere halfway up this chart. And it's not. It's back to where it was last week. Not last week. It was back to where it was Monday. Not even it's

not even above Monday's price. Yeah. And yeah. So you guys can get all excited about it, but the reality is the handle. Like, yeah, this thing has been a disaster and it's been a, you know, a huge like money loser. Yeah. And I contend if you look at silver.

It very much, I think that the semiconductors and the memory stocks are going to behave like silver. And let's pull up a chart of silver, Patrick. Let's go look at it. I, again, remember, on the way up, feeling like a complete fool because I was like, I'm selling my silver. I don't know what's going on here and stuff. And then it declined, had the huge correction, rallied back up a lot, and now it's just drifted lower. And that's what I think we're going to see in these semiconductors and these memory stocks. It's going to be the same chart. It's going to just be a drifting lower. And I continually tell people- Well, we don't know for sure. No, we don't. On balance of probabilities, this is what typically happens after a bubble bursts. But what I want to highlight with silver and use the analog, in fact, I actually think for the Cosby, The better analog is actually the NASDAQ back in 2000, particularly for this case. So I'm going to put on a weekly chart. I'm just going to go back to 2000. And what I want to show is that, like, what happened, there was an extraordinary rip on the upside of the NASDAQ. In that case, it was, you know, this 400% rip on the upside over the...

the two years prior, there was off of the top, a peak to trough drop of 40%. Yeah. Cosby was down 44%. Then in the next three months, the NASDAQ proceeded to do a 43% rally, which was nowhere near as previous high. Right. And that's back to your thing about the math. Like, yeah, think about that. You lost 43% but then you made 43% doesn't mean you're back to the highs. It means you're halfway to the highs. Yeah, halfway to the highs. Yeah. And then it rolled over and died. Yeah. And, uh, and so, uh, to me, and by the way, this is a cleaner analog than sugar for me. Okay, fine. That's fine. They're, they're still kind of in the same ballpark. Yeah. And folks just for the, um, you know, back to the 2000s, I saw recently a very famous, you know, strategist slash, you know, hedge former hedge fund managers newsletter writers talk about how you should close your eyes and buy everything because the reality is that tech goes up forever. And all those things were, you know, buying opportunities throughout the years. And he even mentioned 2000 was a buying opportunity.

And I just want to remind folks that if you had bought in 2000, you weren't even on a nominal basis till like 2015, right? It took years before you bugger-breaking. Broke even. That was not even a count. And that's assuming you didn't own individual stocks that like 90% of them never got wiped. So you have to be in the index. So this idea that you can just buy these things with no thoughts about the valuation, is why we've had this bubble, right? Like this is the problem is that lots of people have just been talking about this and saying it valuation doesn't matter. Nothing matters more than valuation. You know, maybe over the short run, it doesn't matter because valuation can get more and more expensive over the long run valuation means everything. Okay, so let's briefly just give some lip service to Leopold Ashen Brenner.

and his situational awareness fund. He wasn't so aware, was he? The irony of the name of his fund, right? Because he was situationally aware of AI, but not situationally aware of how stock markets work. But it's a very, very, very big difference. And the fact that, you know, He I'm sure when he was at open AI and everything that he used AI to help him write as a 24 year old, his amazing thesis, which then convinced investors that a 24 year old is the right person to run a 4x fund, like four times leveraged fund, the most volatile sectors in the world. Um, and leverage on utilities. It's, uh, it makes, uh, Michael sailor look like an angel. Like, uh, it's like, you know what? Uh, it's, it's unbelievable. The, the fact that, that Michael sailor outlasted Leopold.

is is unbelievable to me. But the part is the really funny part is Patrick is that anybody is surprised that this happens. Like, you know, like a forex leverage. Think about that forex leverage means that and when he at one point when he had, you know, 40 billion in the fund, he was pressing 160 billion dollars of equity. Um, you know, which, I, which basically you couldn't use traditional margin to do it. So he clearly was using some sort of, um, Oh yeah. He's using ISDA and swaps and stuff like that. Swaps and other, other types of things to reach because, because you ain't doing it with traditional margin. Yeah. But, but, um, but the thing is, is that when you play in the, uh, with ISDA accounts with the big boys.

Uh, everybody, uh, at the, at your, uh, the firm you're trading against knows your position. Not everyone, but too many know your position, too many position. And, uh, it's, you put yourself as a target. Yeah. Let's Patrick. He got Amarant. And you know, Amaranth was, for those who don't know, was a hedge fund that traded lots of different things. And it actually was just one trader that got them in all this trouble. And it was a trader that was huge in natural gas. And he put on this very liquid, you know, three year out spread. And like, you know, I can't remember what it was, the Widowmaker, the, like the April versus, or was it like March versus June spread or something on the Nat gas. And he just got way too big.

And then the other traders on the other side realized that they could stop them out. And that was what happened. And it was the illiquid position in one of the smarter traders from Enron that had gone on to trade his own fund. And with Morgan's, I think it was Morgan's debt. No, it was JP Morgan. But the prime broker ended up taking part of the position on because they, you know, it started to go against them. And I just remember back, Patrick, to the one of the greatest books of all time was like When Genius Failed. It was about long-term capital. And at one point, they're struggling to stay alive. They're busy trying to find money to shore up their balance sheets. All their positions are going against them.

And John Meriwether, who's the head of long-term capital, he calls in this buddy of his, this is Italian guy and he's old school New York Italian dude. They describe him as coming in with a silk shirt that's open and like, he's just old school trader kind of dude, right? And he comes in and, you know, John says, I want you to have a look at our books and tell us what we can do. And the longest story short of it, Patrick, is that the guy says, okay, well, how much are you down? And John says, we're down 50%. And he says, you're done. He goes, no, no, no. Well, look at these. Look at this. Look at this. Because it doesn't matter. Once they realize that they can take you down 50%, they realize they can take you down the whole way.

And that is what's happening. Wall Street is like they eat their young. And the fact is, is that they don't like, you know, there's always the picking off retail investorship. But that's small time. They look for the. where a shark can take down another shark. Think back to when Bill Ackman was dumb

enough to talk about Herbalife and how he was short so much stock. Well, Carl Icon and Loeb and said, okay, well, if he's dumb enough to be short, then let's go squeeze him. And they squeezed him and he got absolutely nailed. And so the reality is that when people put on too big a position and then it starts to go against them, That there's sharks and they and they smell blood in the water. And that's exactly what happened here. One of the things that I, you know, people say, I can't believe it bounced so much once it cleaned up. And the reality is that it's kind of the opposite. You need to realize that most big guys would have known that that portfolio was for sale. And at the very least, they didn't know the portfolio was for sale. The prime brokers were busy selling off positions, trying to shore up the portfolio as it went down. So there is no doubt in my mind that part of the AI correction that we've experienced over the last week or two has been him getting stopped out. It's not just all of a sudden- I think he was the marginal um uh you know in a live auction in the market the marginal seller is the one that drives the price well he was the final bit he was the final bit but the whole it wouldn't have happened all at once it wasn't like they didn't try to sell stuff they didn't they weren't as it went against them they would have been selling down positions they would have been in trouble but what i suspect happened was they started to go down so fast that they couldn't get ahead of it And I can tell you, I've understood that. I remember during long-term capital Patrick, we had a situation where I was short-gamma and I wasn't like monstrous, but I remember it was an illiquid afternoon and all of a sudden one of the New York banks that I dealt with, they also had a Toronto book or a Canadian book and they phoned me up and they asked me for bids on stuff and it was just super illiquid and so I bit down and all of a sudden they hit me.

And by the time I went and tried to sell their position that I bought from them, I only was able to sell half of it. And then not only that, I was getting longer as well. So we had this situation where the more we pushed it, the more it went against us and then the worse it all got. The feedback mechanism. Yeah. And I think that that's what we got. And let's also, let's remember, and I wrote this piece about this Patrick, the three, the two and three times leverage ETFs have never been larger. Right and so on the way up that feels great because everyone's buying more and for those who don't know the leverage ETFs at the end of each day if it's up they need to buy

more and if it's down they need to sell more and So on the way up it felt great. It was just more and more and more and more and it just encouraged people to get longer and longer and longer and then on the way down It's the opposite effect and that is what's occurred. So we had this so perfect storm I have a I have a great story that Uh, someone that I know, I'm not going to reference names told me, uh, his mother, uh, opened a self-directed brokerage account and her, she absolutely loved her favorite position, which was soccer, which is the three X leverage because she's making so much money on this thing. And literally when, when he told me it was like 250 bucks. Yeah. I'm like, When I hear someone's mother is into the 3x leverage semiconductor and not understanding what she owns, you know, like the thing went from 300 down to 100 in a month. Yeah. I can tell you, Patrick, I had sold call spreads on the way up on that one.

because I thought, oh, it's okay. It'll go up and down and it'll chew. And I just didn't expect. I think I sold like 150, 175s or something. So on the way up, on the initial way up. And so I sold them. And the next thing I know I'm looking at these things and I'm like, these are like 100 in the money, right? And I'm like, oh God, right? I just like another stupid trade that I did. I thought to myself, and Patrick, I couldn't believe it. Thank God I didn't like take them off for pennies. They all expired worthless. It was it was shocking how quickly they went down. I was flabbergasted and I don't think people, to your point, understand the real risk in there. And then also the fact that they're going to get chewed up with the volatility. Anyways, going back to this situation that we have right now, there's no doubt Leo got stopped out. Some people are saying, oh, this bounce is too much. To me, it's more that the the selling stopped.

And that was the important part, right? So we got this situation where the selling stopped. And now I think it'll be very difficult for us to get these stocks up and going. Nobody's going to be extending out three and four times leverage on these things anymore. That your buddy's mother is probably not going to be buying more at the top. She's not going to be doubling down on this trade. It's going to be tough for this thing to do well going forward. So here's the interesting part, right? Look at the magnitude of the velocity on the way up, but also like this thing got clipped basically 70% on the downside, but it cleared below its June low it cleared below its

May low and Literally traded almost to the same price. It was trading back in February and March When you compare that to the SMH, the SMH just barely had one day close below the May low. The point is the magnitude of that decline, whatever way that the SOC-L clears, there was some sort of daily clothes repositioning shit that was going on.

that created slippage here that, uh, that, that made the velocity downside even exacerbated that much more. Yeah. Cause they were buying more at the top. Like they're buying more as it goes up and listen for like listen for folks that are interested, send me an email, Kevin at the macro tourist.com. I will send you my piece that goes through the math. on the leverage ETFs that walks you through it and shows you why these things are so interesting. So my email is psuresna at you already got it, you bugger. You got to actually show some time to read it. That's your problem. Okay. What else are we going to talk about here? Okay. Well, look, the S&P 500 was interesting. I was reading the Goldman Sachs CTA thing. They were talking about on the SPX that the 7450-7400 area down here was that first layer of CTA triggers on the short-term ones. And we just turtle-headed the CTA trigger and came back above. Clearly, the CTA selling is not there yet.

The interesting part is that they're now a player on the field. They've got to now essentially keep the S&P relatively elevated in order to prevent that new marginal seller from being a player on the field. What's amazing about this market Patrick is that the leaders just got clipped. Like we talked about Leo getting stopped out. We talked about micron and the semiconductor is getting absolutely nailed and the S&P is what? 3% from the highs? Yeah. And that is truly and utterly fantastically astounding. Really. Like it really truly is. You know, and, but, but you know why? Cause we talked about it on the previous shows is like we asked, is it going to be a sector rotation?

And right and it was but you would think by the like the major part of the most important sector getting hammered so hard And it would spilled into the liquidity thing, but it didn't yeah So notice here. This is the breath of the market by the number of stocks trending We got up to 72% 73% just a few days ago to a fresh high higher than we've been at and at any point since January and so So the point here is that with that money got sprinkled everywhere else and and more importantly the mag sevens the what

obviously let's go through the mag sevens the disappointing story had to have been Google but look at the way Google got bought on dip like generally a gap down but it's been saving the day And and obviously Tesla has had out rough time and this is taking it pretty badly. But you know, like you take a look at meta, which took it badly, still holding a previous low. But and of course, Apple just came out and and gap down and disappointed back below its 50 day. But the but Apple was actually driving huge flows.

Like there was taking a lot of like people were selling semis and going into Apple. This was a rotation. Now that Microsoft joined the party after the interesting turnaround in software in general, because by the way, it was interesting. One of the things that, do you know any more detail on, but I was, I heard that Leopold actually had a short position in Adobe. And a few other software names as I can tell you they were trading almost tick for tick the other way. So that that makes complete another sense, right? The correlation between like semis and memory to software was shocking the negative correlation was shocking. So that doesn't surprise me. The long short pairing clearly was a structural unwind. Yeah, that was that was literally happening under the surface. But Microsoft turned It'll be interesting to see because we've talked numerous times about the importance of the MAG7. Now the MAG7s on their earnings valuations, you can make the argument that they're cheap. I've heard this so many times, but you can argue with me in terms of the quality of that earnings and things like this, but the valuations are not bubble-like in the MAG7s, but the path of the MAG7s is incredibly important.

because one third of the index is in these seven stocks. And, um, and you know, if they're not selling when memory stocks and, and, uh, and the socks index is, is going down, then, um, if the rest, it's not enough to create an imbalance on the overall index. And that's what happened. Yeah. But also back to your bread thing though, Patrick, is that it was, it's, it's not just that like, I thought for a second, isn't RSP at new highs? Well, yeah. So you're talking about the equal weight. So the equal weight. Let me just put it up here. This is the equal index. Yeah. Fresh high back on Wednesday. Yeah. And this is what I've also argued is that we couldn't get selling in those the things that everyone's long. And we'd be surprised at how much the other

ones go up because they're so small compared to what everyone's long. But Patrick.

I think we're getting close to the end of this, that the whole market's going to roll over soon. So, you know what's an interesting, I have a speculation. I want to put one out there. So basically, Steve Eismann was on CNBC. Did you see that interview? No, I missed that one. What did he say? So he talked about the fact. That he sold some of his Google and you know that he thought the market's rolling over and when they kind of pressed him on the issue of Well, you know what what are you buying some consumer staples and some you know like a thing? He's like what am I gonna do buy a Clorox that shit never goes up like he goes I'm gonna put a cash but what's interesting is I looked at and thought like That's actually the broad consensus in terms of the fact that the consumer staple names have been so washed out. They've been going down so long that everyone thinks they're a value trap. And they say it is stupid to own them. Why would anyone throw any money in there? You're better off in cash on a T-bill. And I'm curious whether This actually marks the capitulation low in that kind of value versus momentum factor. So what you're saying that Steve, Steve Iceman shitting all over the staples will be that will be the, I don't know if I want to call him out. He just, he just brought, no, no, he just brought it to my, he just brought what is consensus. I completely agree with you. I've just listened. He's a big boy. I'm sure he would laugh if you told him that.

The reality is you're right, Patrick. Whenever you hear someone and whenever something is just consensus and can never happen, you have to ask yourself, hey, wait, is that going to be the surprise? And that's just the way the market works. You know, it's because it's interesting because like I'm just gonna go through very quickly a couple of names But like this is like the the chart of death of General Mills, right going from 90 bucks down Down to 30 right even look how much trouble Warren Buffett had over the last two years where where basically Berkshire has basically been flat Yeah, like literally inactive, like even if you're money to, uh, why would you give money to the Oracle of Omaha? What does that old man know about investing? Absolutely. When you give it to Leopold, he's the new, the next Warren, right? Like he's, he's, he's the next prodigy. Uh, but, but like the

point being here is that, you know, there's a ridiculous amount of these beaten down Clorox rope.

like whatever. These things have been charts of death and these things are being destroyed and the fact is no one wants to touch them because they believe it's a trap. I'm just curious whether they have their day in the sun. I'm just asking like I'm not making a bull call but I I think that there's enough people that have given up on owning them that when performance starts to appear there people chase performance. Yeah. Disagree. Stapels are going to go according to Patrick. I think so let's talk currency. I'm going to pay here because we got to talk yen is we're going to run out of time. Okay. So I'm going to I'm flipping the chart here. This is the yen US dollar not the US dollar yen just so that we can really clear we're talking the yen chart here. But so we had rumor of intervention and then we had the BOJ statement kept rates unchanged. What happened? It wasn't a rumor. It wasn't a rumor. They confirmed that they were intervening. Okay. Think they intervene the most they've ever interviewed, right? And so that's the reality is that the Bank of Japan came in there and they hammered it as hard as they've ever hammered it in. So now the question becomes, is this just another chance to sell into because every previous intervention hasn't mattered in terms of over the long run. It was only two, three days ago that the yen was at all-time lows or not all-time lows, but lows for this current move. And so the question is, is this just an opportunity to sell more or is something changed? It would become a fourth factor on the downside if we had the carry trade unwind thrown into the fray of um of a tech bubble thing and all the other stuff we talked about in headwind like yeah don't don't laugh and say that i i i strongly believe that that is a big huge potential and not only that patrick i i wrote a piece about this i think that ultimately intervention only works so far and the reality is that intervening to get your currency down is actually pretty easy because you have the ability to produce unlimited amounts of your currency Intervening to get your currency up is much more difficult because eventually you're going to run out of the other currencies to sell and you can only do so much of that. One of the things that ultimately needs to be done for Japan to fix the problem of their currency going down is they need to change the investment makeup of their citizens. And if we think about the Japanese situation, they are the largest savers of capital in the world. And increasingly, the lot of that capital

is saved overseas in different things. And the largest pension plan in the world is the Japanese Postal GPIF. And if you look at their portfolio makeup, it's 25% foreign bonds, 25% foreign stocks, 25% local stocks and 25% local bonds.

And through time that has changed and it increased as if we recall, it's kind of quaint to think about now, but it wasn't that long ago Patrick that the yen was suffering from being much too strong. And Abinomics was trying to get the value of the yen down, right? It was 90 or 85 or whatever it was, and they were trying to get it down, meaning higher in terms of USDGPY. And this was abinomics back over here. Right. And one of the things they did during that period was that they changed the makeup of what the GPIF would hold. They used to be, I can't remember, 75% local domestic stuff. And so it's been an absolutely terrific trade. And when I think about what it's going to take for them to fix their problems, in terms of the currency. It's very clear to me that changing the policy makeup of the GPIF and other pension funds is an important tool. And I've just been waiting for them to do what is kind of inevitable.

in terms of them changing that policy and they finally uh about a couple weeks ago had a situation where they threw you know the the shot across the bow and the finance minister mentioned that this was this was coming and so one of the things that I just I I I I strongly believe will happen is that we're going to have the situation where this changes. And you know, up until then, yeah, the interventions are nice if you're long yen, but once that actual policy change occurs in the GPIF, that is going to mean that the US GPY is going to be on offer forever, meaning that the yen will be bid for years and years and years to come. So using this as a segue to obviously we saw this jump in the yen, which is only returning it back to the levels where it was back in May. So it's a big deal for a one-day move, but it still has a lot of work to reclaim anything that it did this year. But what's interesting is how everyone's positioned on this. I want to go to the Commitment of Traders report here on the yen futures positioning.

here at caughtsignal.com. What I wanted to show you, Kev, here is that positioning right now on the large specs is at the one percentile. Basically, we can call it zero percentile of one year look back. And when you look at

there as a percentage of open interest, we're pretty much right along five year lows in terms of their positioning. But when you break it down to actually gross positioning, look at the amount of net short contracts, 260,000. If you do a look back over the last five years, there's no point where large specs have been net short this much of the yen. Wow. I didn't realize it was that high. Yeah. And if you look, the net longs have been relatively flat. So there in my view, I ask the question, does that leave room for lots of short squeezing? There's a lot of short contracts that if this trend is forced to change, they're forced often Many of that could be trend following and other types of things that are going to be literally forced to unwind positioning But but you know, we're at a super interestingly oversold level now. These are the numbers as of The 21st they were only published on Friday. So today later on in a couple hours comes the new report, right gonna be dying to see Actually, though, it won't have the data because it would have been as of Tuesday, so it was actually positioning. So we'll have to wait another full week to see the impact on positioning. By the way, if you want to learn about this caught trading, where do you go, Patrick? Cotsignal.com. Thanks, Kev.

No, but by the way, it is a completely free website. There's nothing to sign up for unless you want weekly updates But go check out and see this data like this. Yeah, this yen data is so clearly visible You know like the whole point we did here on building the site was to decode these caught reports to make this much more visibly thing without a bunch of spreadsheet numbers. You can literally see it on the charts and analyze it. And so it's really interesting to see that yen positioning, Kev. And I agree with you, Patrick, that the yen unwind of this carry trade could potentially be another wrinkle that ultimately makes risk assets go offer.

These are just a number of things that can go wrong. And that's what we talk. What's interesting is that, by the way, did you want to comment anything in terms of further on the yen before we go through some of the others? Nothing. I guess one of the things I will say in terms of the yen, another trade that you might want to think about is the CHF JPY, which is the Swiss franc Japanese yen. And the reason you want to use that is especially if you want to use that as a proxy. for the stock market. And one of the reasons you might use that as a proxy for the stock market is that the

Swiss are much more prone to having what's called a high hedge ratio. So when they own American assets, how much of that currency that you hedge?

actually varies from country to country, and it depends on just the tradition and also the regulations. And the Swiss are known to be one of the countries with the higher hedge ratios. And if you have a higher hedge ratio, what that means, Patrick, is if you're imagining a Swiss pension fund that owns US equities, as the US equities have risen in price, you've had more US dollars to sell to have your hedge ratio. So therefore you sell US dollars by Swiss franc. And so as the US stock market has done so well, they've had more and more Swiss francs to buy. And you contrast that to the Japanese who are prone to not having any hedge ratio. And they've just, especially through these NISI accounts, which is their retail account, have just been buying US equities. And so what they do is when they buy US equities, they're buying US dollars selling Japanese yen.

So if we get a situation where the stock market comes unglued, we could have the Japanese selling their stocks and repatriating the money back to Japan, which would cause the yen to go bid. And at the same time as US stocks go down, the Swiss have to reverse their hedging that they've done in terms of their hedge ratio, which would entail them selling Swiss francs. versus US dollar. So that ends up being a great proxy, CHF, JPY. And I'll tell you, that's a clear breakdown of a trade range. That's a distribution cycle that lasted through a good chunk of the year and throughout the entire year. And this is a breakdown of the one-year range.

Yeah, there you go. There we got a little technical voodoo magic on top of some fundamentals. It just broke to a lower low. It's not voodoo magic, buddy. Okay, what else we got? Let's just punch a couple charts. Okay, I'll let you do your magic for me here on in. What I want to just highlight how weak the asset that shall not be named has been. Okay. You can see here. Those who don't know that's Bitcoin. Yeah. And you can observe it barely. It couldn't even touch its 38% retracement. And what were all of its previous trade ranges in the past act as overhead resistance. I think that Michael Saylor has a date with Leopold. Maybe he's going to show up at his wedding. But another break here in Bitcoin it feels like the path of least

resistance and that's I think something you don't want to ignore here. The just let me just say obviously we have to talk crude oil. What it was quite shocking just how deep the selling was when that piece steel, initial attempted piece steel was announced. Just the fact that oil without dealing with any of the inventory problems, other stuff dropped so substantially and significantly. Now we had off of that low 40% rally.

And again, 40% don't take you back to the highs in the same way as Cosby, but like, but it was a 40% rip. And we're starting consolidate above the 50 day moving average in a period where the war uncertainty is still very high. Inventories are depleted. There's a lot of things that can happen in oil. But what was fascinating to me, I'm going to go back to the caught charts here for a second and look at these commitment of trader reports where they, you know, give this insights into positioning. I want to highlight that while this score shows that 22%, which is quite under-roamed on a one-year look back, when you look at the net positioning as a percentage of open interest, we were only lower before the war started, even after this bounce. And what's particularly interesting, Kev, is when we break it down and look at gross short positioning in crude oil, right? We're at a five year low. There again, we have not seen this many people short oil in the futures market on these contracts at any point in the last five years. Well, Trump told you it's going lower. And what's interesting about that is long positioning. So and none of these shorts have been shaken out.

None of these shorts have been shaken out, and we've already seen this data on the 21st, so a good chunk of the rally happened already. And longs, which were at near 390,000 contracts back in May, basically were unwound like 20% of their position down to 300,000 contracts net. So longs were clearly being squeezed out, but they didn't start rebuilding their longs. So we have a situation where oil ripped 40% reclaiming its 50-day moving average dips are being bought and we have seen no short covering in oil and the lungs have not started rebuilding their lungs Wow It's a it's a disaster. It's like it's a disaster waiting to happen and this is unfortunately one of the problems Patrick that you get when you try to manipulate markets and one of the things is that when you Beated out of people so that there's nobody to short your stock or nobody is long oil It means that or when you have a situation when there actually is something bad that occurs

There's nobody to take the other side and that's what really scares me and use great way of you highlighting it is What what happens if this gets worse instead of all of a sudden there being some people that are willing to sell at 120, there's nobody. And in fact, there's some shorts that need to get it back in. So now all of a sudden you've exposed us to this right tail risk that is much, much higher because you've been so busy trying to talk the oil price down. Yeah.

Right and and I'm sure there's no shortage of conspiracy theorists who think that that short interest is is they're quite intentionally by By a player on the field that show but you as treasury you meet and Something like that. I'm not I'm not claiming that but there are there are gonna be people that are gonna speculate that right I will leave those people for the macro voices Yeah, there you go. So you're a wanker. All right. So let's let's move on to gold. This chart is deceptive because we had a contract role that made this look more pronounced. I'm going to just go to September. Gold has actually during this entire FOMC bond route and everything actually flatline. And that's I find that interesting because if you told me what's happening.

real yields, the long end of the curve, the surprise buy thing. I mean, maybe the alleviation of the dollar rally acted as a little bit of a offset, but I would is expecting a more volatility in gold. And well, it also for it to go down, right? Because those people who believe that higher naturally could have gone down just voluntarily in any direction. Just give me some like I would have thought that gold would have responded. And you know what's again, I'm just going to pivot back to these commitment to trader charts. But what's super interesting. when looking just at net positioning. Again, we have an on a one year look back, we're getting close to washed out in terms of positioning. But what's particularly interesting is all year, all year, the number of short contracts and a number of long contracts by large specs has barely budged. It literally has been flatline. We've gone through a bubble peak.

and subsequently a 25-plus percent correction in gold, and commitment to trader positioning on large specs is relatively unchanged. Patrick, this has further proved to my theory that we aren't driving this bus. This bus has been driven by the People's Bank of China. And all you had to do is look at

the result, the announcement that they made recently that they have brought in the most goal that they've like, in terms of the most amount that they bought in a month ever. And I think that they've standing in here and that said, you know, they've Gandalf this and said, thou shall not pass, right? Like they, they put the sea, the stick down on the ground and hopefully they don't end up falling into the chasm like Gandalf. But the reality is that that is what's happening here. And I still, I, I, I've said this before and I'll continue to say it, that folks that are staring at the US dollar in real rates to try to trade gold are using the wrong metrics. That used to matter. That no longer matters. It's the People's Bank of China. And just stop worrying about real rates and worry what the People's Bank of China is doing. And to me, the flaring up of hostilities and the reality of Trump going out and saying, that they were responsible for trying to sabotage an election. You're sitting there and you're trying to, what are you going to do? Are you going to keep buying treasuries? No, you're going to start to buy more gold. So that's the longer, the longer term. But anyway, gold is gold isn't dead. There's no evidence of a new bull phase though, Kevin. So, you know, you can talk about that story, but I'd like to see some sort of price action goal that actually shows as being accumulated. Okay. But the first step is for it to stop going down, which is good.

The sideways right like that if I if I if I was to tell you what I think is gonna happen Yeah, we're going to get a spectacular turtle head and it's gonna be a turtle head that pops quite a bit and But the when when we get some market volatility in gold Sorry, no broader market. I think there will be some sympathy pain and we're gonna see it's maybe one more leg down But that will probably be the bottom. That will be the moment to buy. I think that if there was even a small flush out over a week or two that got gold down to 38 to 3600, you buy that dip because probably 4000 is a realistic fair value zone and therefore you're taking advantage of, especially if it's broad.

especially if the selling is accompanied by broad liquidity happening across the other asset classes, right? Like if it's not just gold by itself, but if it's gold reacting to the intermarkets, then I'd buy it. Like I think that that would be an interesting pay. So I want to segue, unless you have something to add to that, I want to say that maybe, you know, maybe the long end goes no bid, everything goes down. And then I still think that gold leads us out of

the next whoosh in risk assets. Anyways, let's go on to the next. So I want to just briefly show you one quick thing on the caught reports on treasury bonds, which I thought was super interesting to collaborate the thesis that we agreed upon. Okay. Notice a large spec positioning on two year notes. It's at the 100th percentile. What is the large spec positioning on long bonds?

almost at the 0% right? Like we basically have very clearly that shift. But what's interesting is when you look at net positioning on the two-year note, notice that the majority of actually the buying was not long's rebuilding positions. Long positioning has been flat. It's actually been short covering. Notice here that large specs are doing huge amounts of short covering. into this selling. So there is an increasing consensus amongst large specs to basically unwind their short position into your Treasury notes. But no long positioning being built, which basically tells me that I don't want to call it a crowded trade. Even though this is crowded, it's not crowded from longs rushing in. It's actually, the rating got crowded because shorts are covering. And so therefore I would not be fading this crowded rating. I actually think that the two year has room to go because of the way I interpret that. But just quickly and then I'll let you comment. But it's a little different on the 30 year because the 30 year, the longs have been relatively flat, but the short position in the long bond continues to build.

And so far that crowd has been rewarded. There's been positioning by the large specs that the long bonds going lower and it has been. And so the crowded trade is not being squeezed yet, but it is getting crowded. There is a consensus view showing out there and short positioning in that treasury by large specs is building. And so that's interesting because it really does kind of collaborate. I think There's no contradiction to what we've been saying when I look at that. Sounds good. And one of the things I worry though, about with those caught reports is that you need to be aware that the basis trade is in there. And sometimes they, they, they, the trades that are labeled as speculative are actually hedged and it's, and it's a little more complicated, but it makes it more deceptive, but it is still an interesting story. Right. Um, very briefly, just two things. Number one.

Copper remains a large spec positioning quite crowded. Long positionings are there, a little bit of an unwind during the one month correction. But generally, the long copper trade traders have been rewarded. It's still a generally bullish chart. And out of the commodity markets where majority of the things have gotten their ass handed to them, Copper is remaining a 52 week highs, actually all time highs. And it actually looks like it may go. It's looking terrific, isn't it? It really is. If this thing breaks 52 week highs, we could see seven, seven and a quarter. And so let's see whether or not copper can confirm the generally strong bullish positioning with that breakout. The other thing I wanted to just touch on is just how legitimately dead the uranium market has become.

uh and like this is like if it was a patient at a hospital with a pulse monitor the doctors would be sure it's dead like this like look at this it's like flat lined uh the uranium market has just gone completely silent on the physical uranium. Obviously, uranium stocks have been going through a challenging little thing. We just had Cameco's earnings come out and the earnings came in a surprise loss. The stock actually gapped higher and gave it back. The point here, uranium remains in a distribution cycle. And so far, the sign that that Kamiqo turning it around for the space is not evident. And and so at this moment, I think uranium and gold, no matter how much there's a there's a group of resource investors that love this space. Yeah. And and at some point, there's going to be big money made in that space all over again.

There is zero sign at this moment that either of these two markets have woken up and you have to respect that they're in some form of a bear slash Distribution cycle and there is zero evidence that new bull cycle has begun in that space And that's all I've got here. That's awesome. All right. Let's call it a day Patrick Where can they find out about more about you and your wonderful charts and team? Listen if you want direct trades for me. You go to big picture trading.com and my analysis, but you know, we created this caught signal.com page completely free. No strings attached. No like, you know, paywall or any hidden thing, literally just free resource for everyone to use. You'll find a snapshots of it in the macro tourist newsletter. I'm sure at some point once Kevin starts, uh, Uh, it starts using it. But, uh, no, you, you looked at it, but the point is, is that, uh, it's a completely free resource and a lot of the stuff we talked about, you can see Joe, go check it out and,

uh, and see what's going on on there. All right. Can they find you? Oh, they go to macrotourist.com. Uh, listen, bear market bull market was happy for you guys to spend some time with us on this crazy ride. Now stick around for the after show. Here comes Danny.

Although, you know what, Danny? I was just kind of trying to figure out what a better name for you would be. And I've decided Oliver would be a name. I was looking for the most popular names in Australia. And it seems to be their all named Oliver. I don't know. But for those who are listening and not watching, Danny's got the mustache and the mullet going. And very much looks like an Australian. It's been there's been many comments. Have they like? Yeah, saying that you're going full Australian. No one really is your English. No. You gotta shave the sides though. Yeah, I was gonna say, it's not a mullet. It's like, I've just gone very long with the old Barnett, but it's not full Strayer yet. Yeah, it's full Strayer. Okay, we gotta do your beer, Patrick. Listen, shockingly, I have not drank as Danny's claiming that he's drinking it all the time.

This is my first time trying it. So this was actually a legitimately interesting thing. And what I find fascinating for like literally one of the few U.S. beers that make it to Lisbon, like as in Portugal, generally it's a lot of micro breweries around here, but it's very hard to find U.S. kind of beers like this here. There's no such thing as a Budweiser being sold in Lisbon. And so the fact that I found it was cool. But I loved it. Danny, it's a solid paleo. And you know, Kev, you're a fan of paleos. I do like the paleo. Not the IP and the paleo. So what do we give it in, Patrick? I'm going to give it a 8.3. Oh, that's high for Patrick. No, no. This is, I hear I say that it's sessionable. Oh, God. Do they even sell this in the US? What's the name of it again? It's Sierra.

Sierra Nevada, yeah, like the the mountain range. Well, there it is bro. I've never seen it when I've gone somewhere in the States. There's three monkeys started their logo very a pro pro a pro poets like us the three monkeys. There we go. Oh, they got bison on the front. You got to love that. I'm a big bison fan. There you go. I am a big bison guy. For those who don't know, that's a buffalo. Hey, well, I'm gonna have to get I'm gonna have to try one guys. Oh, I'm no, you know, I it's a it's a hundred percent worth worth trying It's it's a good beer. So Danny you're are you still out near

camper van camping life camping life. Yeah, and Patrick how was your It was awesome, you know, I I had an absolute blast I ended up parking my ass in Costa Brava, Spain, which is outside of Barcelona, just on the French border. It's like, it's the Spanish part of, very much is like the French Riviera, but in Spain, right? Like, so it's got that entire French Riviera vibe to it. And so chill, so good. It's shockingly not a big touristy area, only for kind of like the Um, local Europeans that know about the area, but it just got absolutely here. The Americans coming now. Yeah. Yeah. Cause I, I've got that much pull. I can know it. So you've camped in the, in Canada. What are, you know, what contrast them? Oh, it's completely different. I was on a beach on the ocean. Like, uh, I mean, in the end, uh, in Canada, you're on a lake being eaten by mosquitoes. There's not a single bug out there.

Spain right like what you're saying is you mean in Canada in Canada. There's really just You know for the four seasons are spring sorry fall winter spring and bug season it's Like it is pretty bad like May and June are bad, but July is not so bad in Canada like there you go August is nice August is nice the bugs go away and for those who don't know that the bugs are bad like You can't really appreciate them until you're out there. I went, I went hiking with my wife and we forgot bug spray and I thought I was going to lose my mind. I got chewed up something fierce. Like if you forget your bug spray, you're in trouble. Oh yeah. Yeah. Absolutely. Absolutely. So and what beach? Oh, sorry, Patrick. Go ahead. No, I, you know, I was saying that one of our huddle listeners, Frederick, you know, pinned me out or picked me out in the crowd out there in Costa Brava and he did it. He approached me, so I just wanted to do a shout out to him. It was a pleasure meeting you, buddy. That's funny. Getting recognized out in the road. And Danny, what feature are you on, buddy? A Portuguese beach. You don't want to say you're too worried about the... Oh, you don't even know the name of it. Yeah, it's more... Nobody's gonna come and find me. Nobody gives to you.

That's not true. My B of my B of recommendations, but it's the seven the seven women who with us to our show are going to exactly. Yeah. Yeah. Exactly. Everyone have a great couple of weeks. We'll see you all. Take care. Thanks for tuning in. Cheers, everyone.